

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-02

HANGZHOU QIANWANG DRESS CO., LTD.

v.

RDD FREIGHT INTERNATIONAL INC.

ORDER COMPELLING RESPONSES TO DISCOVERY

On March 2, 2017, the Commission issued a Notice of Filing of Complaint and Assignment for this proceeding. The Complaint was signed and verified by Lan Ye, who stated that she was “the assistant manager” of Hangzhou Qianwang Dress Co., Ltd. (Hangzhou Qianwang). (Complaint at 7.) Respondent RDD Freight International Inc. (RDD Freight), a non-vessel-operating common carrier licensed by the Commission, filed an answer and counterclaim on March 24, 2017. It was learned during a telephone conference that Lan Ye is not an attorney nor is she an officer, partner, or regular employee of Hangzhou Qianwang. Therefore, she could not represent Hangzhou Qianwang in the proceeding. *See* 46 C.F.R. § 502.21(a) (“A party may appear in person or by an officer, partner, or regular employee of the party, or by or with counsel or other duly qualified representative . . .”). Hangzhou Qianwang is now represented by Xingliang Quin, its general manager/owner, who is not an attorney.

The Commission’s discovery rules are designed to place much of the responsibility for ensuring that discovery is accomplished on the parties. The rules require parties to make initial disclosures within seven days of the filing of the answer. 46 C.F.R. § 502.141(b). Within fifteen days after receipt of a respondent’s answer, the parties are required to meet to establish a discovery schedule. 46 C.F.R. § 502.141(h). Because a motion to compel responses to discovery is a non-dispositive motion, 46 C.F.R. § 502.69(g), a party must confer with another party to attempt to resolve the disagreement before filing a motion to compel. 46 C.F.R. § 502.71(a). “[D]iscovery requests and responses must not be filed with the Secretary until they are used in the proceeding, or the Commission or presiding officer orders filing.” 46 C.F.R. § 502.2(k).

Recent submissions by the parties indicate that neither party has fulfilled its discovery obligations. Presumably as a result of that, Hangzhou Qianwang did not file its opening brief on January 12, 2018, as required by the briefing schedule. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Oct. 11, 2017) (Order Discharging Order to Show Cause and Establishing Discovery and Briefing Schedule).

It has become apparent that the presiding officer must play a more active role to bring this proceeding to the point where it can be resolved. This begins with ensuring that the parties fulfill their discovery obligations. It has become necessary to require that discovery in this proceeding be filed with the Secretary as permitted by 46 C.F.R. § 502.2(k). Some of the discovery documents have already been sent to the Commission. Accordingly, the Secretary is asked to enter the following documents into the Commission's docket. Although the parties served these documents several weeks ago, for convenience, the "Document Number" should continue from the last document on the docket and the "document serve date" should be the date the Secretary enters the document on the docket.

Hangzhou Qianwang's Request for the Production of Documents and Things. [This document is attached to the email dated November 16, 2017, from Xingliang Quin to Attorney Pan cc to Secretary, subject "FMC Docket No. 17-02 – RDD Freight's Requests for Discovery," attachment designated NOV.17 B.PDF.]

Hangzhou Qianwang's Initial Disclosure. [This document is attached to the email dated November 16, 2017, from Xingliang Quin to Attorney Pan cc to Secretary, subject "FMC Docket No. 17-02 – RDD Freight's Requests for Discovery," attachment designated NOV.17 A.PDF.]

Respondents' First Request for Production of Documents (served October 25, 2017). [This document is attached to the email dated January 16, 2018, from Attorney Pan to Secretary, ExhibitA1.pdf.]

Letter dated January 5, 2018, from Xingliang Qian to the Secretary with salutation "Dear Judge." This letter should be described on the docket as "Complainant's Motion to Compel Responses to Discovery." [This document is attached to the email dated January 8, 2018, from Xingliang Qian to judges@fmc.gov, attachment Hangzhou2018.doc.]¹

¹ The undersigned is construing this letter and the January 16, 2018, letter from Attorney Pan described in the next paragraph as motions to compel. The parties are reminded that "[a]ny request for action by the Commission or presiding officer must be made by motion, not by letter or email request." *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02, Order ¶ 14 (ALJ Mar. 3, 2017) (Initial Order). The parties are admonished to make any future requests for action by the Commission or presiding officer by motion, not by letter or email request.

Letter dated January 16, 2018, from Attorney Pan to Rachel E. Dickon – Assistant Secretary to Hon. Clay G. Guthridge. This letter should be described on the docket as “Respondent’s Motion to Compel Responses to Discovery.” [This document is attached to the email dated January 16, 2018, from Attorney Pan to Secretary, RDD.ltr.pdf.]

The parties are ordered to comply with the following discovery requirements. Adverse action against a party may result from failure to comply. The Secretary is asked to enter on the docket discovery-related documents filed by the parties in response to this Order.

I. RESPONDENT’S INITIAL DISCLOSURES.

It is not clear whether RDD Freight served its initial disclosures. It is hereby

ORDERED that on or before February 23, 2018, RDD Freights serve on Hangzhou Qianwang and file with the Secretary its initial disclosures. If RDD Freight has already served its initial disclosures, it is ordered to file a copy with the Secretary on or before February 23, 2018.

II. RDD FREIGHT’S RESPONSES TO HANGZHOU QIANWANG’S REQUEST FOR THE PRODUCTION OF DOCUMENTS AND THINGS.

RDD Freight acknowledges that it received Hangzhou Qianwang’s Request for the Production of Documents and Things on RDD Freight. (Letter dated January 16, 2018, from Attorney Pan to the Assistant Secretary and the undersigned, ¶ 2.) Attorney Pan states that RDD Freight did not respond to the request for production because Hangzhou Qianwang already has the documents, the request designated “the offices of Lan Ye” as the place for document inspection and she has been found not to be qualified to represent Hangzhou Qianwang, and a letter report submitted by Hangzhou Qianwang on January 2, 2018 was signed and its digital signature shows “Anna Lam of Kids Apparel Club” as the author. (*Id.*)

Hangzhou Qianwang’s request for production is signed by Hangzhou Qianwang’s representative Xingliang Quin, whose office apparently is in China, not Le Yan. The fact that Xingliang Quin asked that the documents be produced in Le Yan’s office in Flushing, New York, does not mean that Le Yan is now representing Hangzhou Qianwang. As counsel knows but Xingliang Quin may not, given the number of documents requested, a party often responds to a request of this magnitude by sending copies of documents to the other party rather than appearing at the designated location with the documents for inspection and copying. The fact that Hangzhou Qianwang has its own copies of some of the documents sought is not grounds for objection. 8 Charles Alan Wright, Arthur R. Miller, & Richard L. Marcus, Federal Practice and Procedure § 2014 (2010); 8B Charles Alan Wright, Arthur R. Miller, & Richard L. Marcus, Federal Practice and Procedure § 2214 (2010). It is not clear why RDD Freight believes that the Anna Lam digital signal in January 2018 would justify not responding to a request for production of documents served in November 2017. Therefore, it is hereby

ORDERED that on or before February 23, 2018, RDD Freights serve on Hangzhou Qianwang and file with the Secretary its responses to Hangzhou Qianwang's Request for the Production of Documents and Things *with the exception of any documents responsive to Request No. 11*, as it requests documents related to settlement discussions. *See* 46 C.F.R. § 502.75(c) ("No settlement offer, or proposal will be admissible in evidence over the objection of any party in any hearing on the matter."). If RDD Freight has already responded to the request for production, it is ordered to file a copy with the Secretary *with the exception of documents responsive to Request No. 11*.

III. HANGZHOU QIANWANG'S RESPONSES TO RDD FREIGHT'S FIRST REQUEST FOR PRODUCTION OF DOCUMENTS DATED 10/25/17.

RDD Freight states that it served its "First Request for Production of Documents" dated 10/25/17 on the Hangzhou Qianwang at its designated mailing address, but that other than a superficial answer, Hangzhou Qianwang has been "coy about the questions raised and refused to produce information requested therein." I note that the document characterized as "Complainant's Answer to RDD Freight's request for production" in Attorney Pan's January 16, 2018, letter is captioned as Hangzhou Qianwang's Initial Disclosure and the language in bold in the document tracks the language of the Commission rule that requires initial disclosures, so this appears to be the case. *Compare* email dated January 16, 2018, from Attorney Pan to Secretary, Exhibit A2.pdf. *with* 46 C.F.R. § 502.141(b).

It does not appear that Hangzhou Qianwang has responded to RDD Freight's request for production of documents. Therefore, it is hereby

ORDERED that on or before February 23, 2018, Hangzhou Qianwang serve on RDD Freight and file with the Secretary its responses to RDD Freight's First Request for Production of Documents. If Hangzhou Qianwang has already responded to the request for production, it is ordered to file a copy of the response with the Secretary.

IV. INTERROGATORIES.

The discovery order established a deadline of October 25, 2017, for serving interrogatories. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Oct. 11, 2017) (Order Discharging Order to Show Cause and Establishing Discovery and Briefing Schedule). Neither party states that it served interrogatories on the other party. If a party served interrogatories in compliance with the discovery schedule, the party should file the interrogatories with the Secretary. If a party has served responses to interrogatories served in compliance with the discovery schedule, the party should file the responses with the Secretary. If a party has been served interrogatories, but has not served responses, on or before February 23, 2018, the party is ordered to serve the responses and file the responses with the Secretary. The parties are not permitted to serve interrogatories at this time. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Dec. 18, 2017) (Order Barring Service of Additional Discovery Requests).

V. ATTORNEY FOR HANGZHOU QIANWANG.

In its January 16, 2018, letter, RDD Freight asks that it be permitted to file a motion to compel Hangzhou Qianwang to hire an attorney to prosecute its claims. (Email dated January 16, 2018, from Attorney Pan to Secretary, attachment RDD.ltr.pdf (letter dated January 16, 2018, from Attorney Pan to the Assistant Secretary and the undersigned.) Commission rules permit a party to be represented by an officer, partner, or regular employee of the party. RDD Freight is correct that the undersigned has encouraged Hangzhou Qianwang to hire an attorney. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Apr. 28, 2017) (Order to Supplement the Record). The rules do not permit the presiding officer to *order* a party to hire an attorney. Therefore, RDD Freight's request for permission to file a motion to compel Hangzhou Qianwang to hire an attorney is **DENIED**.

VI. TELEPHONE CONFERENCE.

When the Commission assigned this proceeding to the Office of Administrative Law Judges, it established March 2, 2018, as the due date for an initial decision. It will not be possible to meet this deadline; therefore, the undersigned will be asking the Commission to extend this deadline. The parties are ordered to appear for a telephone conference on February 28, 2018. The parties are ordered to confer and establish a mutually convenient time for the conference and, on or before February 23, 2018, notify the undersigned at judges@fmc.gov of that time. If both parties are not available on February 28, 2018, the parties are ordered to establish three alternate proposals for the date and time for a telephone conference and notify the undersigned at judges@fmc.gov of those dates and times.

The parties are instructed to review the briefing requirements set forth in the order issued October 11, 2017, *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Oct. 11, 2017) (Order Discharging Order to Show Cause and Establishing Discovery and Briefing Schedule), and be prepared to enter another briefing schedule during the telephone conference. Hangzhou Qianwang is reminded that the burden of persuasion is on it in this proceeding. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true." *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). See 5 U.S.C. § 556(d) ("Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof."); 46 C.F.R. § 502.155. The briefing schedule established by the Order Discharging Order to Show Cause and Establishing Discovery and Briefing Schedule is **VACATED**.


Clay G. Guthridge
Administrative Law Judge